

Flexicap investing: For portfolio diversification and long-term wealth creation



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Several economic indicators point to a robust revival in the domestic growth story. Record-low inflation, moderate interest rates with prospects for further reduction, healthy GDP growth, pickup in corporate earnings and the gradual return to negotiations on US trade tariffs present a fairly comfortable picture for equities in general.

However, the only odd part in the present scenario is the slightly elevated valuations in some pockets of the market. Global geopolitics and central bank actions are other factors to monitor.

Being nimble while making portfolio moves by taking a broader view of the market may work well for investors.

Given the current macroenvironment, taking a flexible approach to investing by diversifying across market capitalisations can ensure appropriate risk-adjusted performance for investor portfolios.

Flexicap investing ensures suitable diversification and the ability to manage risks smartly by taking informed calls based on market conditions.

Doing so could ensure wealth creation over the long term as large caps would ensure portfolio stability, while mid and small caps bring in the growth element.

Using the right process is critical for making flexicap investing rewarding.

Straddling market caps

The basic advantage of flexicap investing is that it allows taking exposure to stocks across market capitalisations without any restrictions. Depending on market conditions, juggling large, mid and small caps smartly can result in above-average performance.

For this to fructify, following systematic process becomes essential.

First, for deciding on the right calls in the large cap space, a top-down approach becomes important. Economic indicators, government policy response, GDP growth, inflation, global macros, future earnings growth potential and project pipeline become key monitorable factors.

Some macro metrics that are keenly followed are current account numbers, fiscal deficit, credit growth, inflation, interest rates, tax revenues, capacity utilisation in companies and corporate profitability.

Second, identifying opportunities in the mid and small cap portions requires a bottom-up approach. Company factors such as growth outlook, opportunity size, management quality, key financial return ratios and valuations hold the most important for decision-making.

On the whole, stock selection requires a mix of top-down and bottom-up approaches.

Third, the final selection and weightage for individual stocks would need to be based on macros, company fundamentals, valuations, growth projections etc.

Fourth, based on prevailing conditions, the suitable market cap allocation pattern must be decided.

The most attractive opportunities within these identified segments must find their way into the portfolio. Stock or sector

concentration must be avoided to reduce portfolio risks.

Further, the large, mid and small cap allocation will be assessed and re-balanced on a periodic basis

By itself, rigorous flexicap investing ensures portfolio diversification and risk mitigation, given that weightage of large, mid and small caps stocks is dynamically managed and rebalanced. Large caps would contain downsides during volatility, while small and midcaps ensure strong participation in any broader market rallies.

Given that market capitalisation leadership shifts each year, it is more effective to allow the fund manager to dynamically determine allocations to capture the most promising opportunities. Flexicap investing inherently promotes diversification and risk mitigation, as the allocation across large, mid, and smallcap segments is actively managed and rebalanced. Large caps help cushion the portfolio during periods of volatility, while mid and smallcap exposures enable meaningful participation in market upswings.

For retail investors, mutual funds offer an ideal way to gain flexicap exposure. In this approach, professional fund managers, supported by research analysts and in-house models, handle allocation decisions. Unlike other diversified equity fund categories, flexicap funds have no limitations or restrictions in terms of allocation to stocks of a specific market capitalization, giving fund managers full discretion to take advantage of opportunities as per prevailing market conditions. Flexicap funds have the potential to become strong candidates for an investors core equity allocation.

Flexicap funds outperform over medium and long terms

	1 Year	3 Years	5 Years	10 Years
Flexicap funds category average	7.9%	17.6%	19.8%	15.4%
NIFTY 500 - TRI	9.6%	16.1%	19.1%	15.1%

CAGR data for the direct plans as of November 14, 2025

Source: ACE MF • Created with Datawrapper